

Discount Division 2020: growth masked share loss

Recommended discussion: use 2020 momentum to defend value while closing regional and e-commerce gaps.

\$25.4B

2020 sales

Sales grew 6.8%, but the market grew 11.0%.

17.3%

national share

Share declined -0.7 pts versus 2019.

4.6%

e-commerce penetration

E-commerce sales rose 207%, but penetration trails industry by 0.4 pts.

Recommendation: prioritize a share recovery program in Ontario/RCSS while scaling e-commerce capacity and preserving value-price credibility.

What management should take away

- The division captured absolute COVID-era demand, but lost relative position versus a faster-growing market.
- Ontario is the largest actionable issue: combined share fell about 1.0 pt and RCSS Ontario declined 9.6%.
- E-commerce was the biggest growth engine; closing the industry penetration gap is a near-term share lever.
- No Frills Atlantic is a small-base success case and should be mined for transferable execution lessons.

Scorecard: growth was strong, relative capture weaker

Core issue is not demand generation; it is relative capture of a growing market.

Sales growth



Net result: national share moved from 18.0% to 17.3%.

Change: -0.7 pts.

Metric	Discount	Industry
Sales growth	6.8%	11.0%
Promo penetration	35.2%	35.2%
E-com penetration	4.6%	5.0%
E-com sales growth	207%	178%

Interpretation

- Promo penetration matched the market in 2020 and declined versus 2019, so share recovery should not rely only on deeper blanket promotion.
- Every discount market hit peak e-commerce sales in WE Mar 14 20, indicating a capacity and fulfillment stress test during the demand spike.
- E-commerce penetration is already material at 4.6%; the issue is converting rapid adoption into sustainable market-share capture.

Focus areas: Ontario/RCSS priority; Atlantic playbook

Regional lens shows the largest value pool also contains the clearest share leak.

Region	2020 sales	YoY	Share	Share chg.	Readout
Atlantic	\$0.4B	38.4%	4.6%	+1.0 pts	Small base, strong momentum; mine No Frills playbook.
Quebec	\$3.3B	6.6%	15.5%	-0.6 pts	Maxi grew, but lagged market share capture.
Ontario	\$7.7B	2.9%	12.2%	-1.0 pts	Largest problem: combined share down and RCSS -9.6%.
West	\$14.0B	8.4%	26.2%	-0.6 pts	Largest base; protect share while pushing e-com.

Ontario detail

No Frills Ontario: 6.3% sales growth.

RCSS Ontario: -9.6% sales growth.

E-commerce lens

Division penetration: 4.6%; industry: 5.0%.

Treat e-commerce as a share lever, not only a channel KPI.

Immediate actions and KPIs

Breadth-first opportunity set for the leadership team; validate with store, customer, and margin detail.

1. Ontario share reset

- Deep dive RCSS Ontario stores, assortment, price gaps, and out-of-stock drivers.
- Localize value communication and traffic-driving categories where share loss is highest.
- KPI: weekly Ontario share, RCSS Ontario YoY sales, traffic, and basket size.

2. E-commerce capacity

- Expand pickup/delivery slot availability around high-demand stores and peak weeks.
- Improve substitution quality and availability on known online baskets.
- KPI: e-com penetration gap to industry, fulfillment rate, repeat online shoppers.

3. Value and promo discipline

- Protect key value items and sharpen promo where competitive gaps are visible.
- Shift from blanket depth to targeted, margin-aware offers by market and trip mission.
- KPI: price index, promo ROI, gross margin mix, customer retention.

4. Scale what works

- Study No Frills Atlantic growth drivers: local execution, offer, labor model, and competitive context.
- Replicate transferable practices in comparable smaller-base markets.
- KPI: market-specific share lift, sales per store, and execution scorecards.

Next data cuts: store-count normalization, margin, price index, loyalty cohorts, online capacity, and competitor density.